

1 ENGROSSED HOUSE AMENDMENT
TO
2 ENGROSSED SENATE BILL NO. 604 By: Gollihare of the Senate
3 and
4 Dobrinski of the House
5

6 An Act relating to motor vehicles; amending 47 O.S.
2021, Sections 562 and 564, as last amended by
7 Sections 2 and 4, Chapter 240, O.S.L. 2024 (47 O.S.
Supp. 2024, Sections 562 and 564), which relate to
8 definitions and licenses; modifying definitions;
defining terms; modifying list of entities requiring
9 licensure; removing certain exception; amending
Section 1, Chapter 29, O.S.L. 2023 (47 O.S. Supp.
10 2024, Section 564.3), which relates to dealer
management system providers; modifying definitions;
11 requiring certain commercially reasonable data
security standards; modifying entities not liable for
12 certain actions; modifying entities required to
provide certain indemnification; prohibiting certain
13 actions by certain entities; defining certain term;
amending 47 O.S. 2021, Section 565, as last amended
14 by Section 7, Chapter 240, O.S.L. 2024 (47 O.S. Supp.
2024, Section 565), which relates to the denial,
15 revocation, or suspension of license; modifying
reasons for which a license may be denied, revoked,
16 or suspended; defining term; removing language
requiring certain dealer compliance; and providing an
17 effective date.

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20 AMENDMENT NO. 1. Strike the title, enacting clause, and entire bill
and insert:
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22 "An Act relating to motor vehicles; amending 47 O.S.
2021, Section 562, as last amended by Section 1,
23 Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section
562), which relates to definitions; merging multiple
24 versions of statutes; modifying statutory reference;

1 amending 47 O.S. 2021, Section 565.2, as last amended
2 by Section 2, Chapter 145, O.S.L. 2024 (47 O.S. Supp.
3 2025, Section 565.2), which relates to termination,
4 cancellation, or nonrenewal of a franchise; merging
5 multiple versions of statutes; repealing 47 O.S.
6 2021, Section 562, as last amended by Section 2,
7 Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section
8 562), which relates to definitions; repealing 47 O.S.
9 2021, Section 565.2, as last amended by Section 9,
10 Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2025, Section
11 565.2), which relates to termination, cancellation,
12 or nonrenewal of a franchise; and providing an
13 effective date.

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BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 47 O.S. 2021, Section 562, as last
amended by Section 1, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025,
Section 562), is amended to read as follows:

Section 562. The following words, terms, and phrases, when used
in Sections 561 through 567, 572, 578.1, 579, and 579.1 of this
title, shall have the meanings respectively ascribed to them in this
section, except where the context clearly indicates a different
meaning:

1. "Motor vehicle" means any motor-driven vehicle required to
be registered under the Oklahoma Vehicle License and Registration
Act. The term motor vehicle does not include:

- a. recreational vehicles, as defined in the Recreational
Vehicle Franchise Act, or
- b. powersport vehicles;

1 2. "New motor vehicle dealer" means any person, firm,
2 association, corporation, or trust not excluded by this paragraph
3 who sells, offers for sale, advertises to sell, receives deposits
4 for vehicles, leases, or displays new motor vehicles and holds a
5 bona fide contract or franchise in effect with a manufacturer or
6 distributor authorized by the manufacturer to make predelivery
7 preparation of such vehicles sold to purchasers and to perform post-
8 sale work pursuant to the manufacturer's or distributor's warranty.
9 As used herein, "authorized predelivery preparation" means the
10 rendition by the dealer of services and safety adjustments on each
11 new motor vehicle in accordance with the procedure and safety
12 standards required by the manufacturer of the vehicle to be made
13 before its delivery to the purchaser. "Performance of authorized
14 post-sale work pursuant to the warranty", as used herein, means the
15 rendition of services which are required by the terms of the
16 warranty that stands extended to the vehicle at the time of its sale
17 and are to be made in accordance with the safety standards
18 prescribed by the manufacturer. The term includes premises or
19 facilities at which a person engages only in the repair of motor
20 vehicles if repairs are performed pursuant to the terms of a
21 franchise and motor vehicle manufacturer's warranty. For the
22 purpose of Sections 561 through 567, 572, 578.1, 579, and 579.1 of
23 this title, the terms new motor vehicle dealer and "new motor
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1 vehicle dealership" shall be synonymous. The term new motor vehicle
2 dealer does not include:

- 3 a. receivers, trustees, administrators, executors,
4 guardians, or other persons appointed by or acting
5 under judgment or order of any court,
- 6 b. public officers while performing or in operation of
7 their duties,
- 8 c. employees of persons, corporations, or associations
9 enumerated in subparagraph a of this paragraph when
10 engaged in the specific performance of their duties as
11 such employees, or
- 12 d. a powersports vehicle dealer;

13 3. ~~"Motor vehicle salesperson"~~ "Salesperson" means any person,
14 resident or nonresident, who, for gain or compensation of any kind,
15 either directly or indirectly, regularly or occasionally, by any
16 form of agreement or arrangement, sells or negotiates for the sale,
17 lease, or conveyance or arranges the financing of any new motor
18 vehicle or powersports vehicle as an employee for any new motor
19 vehicle dealer or powersports vehicle dealer to any one or more
20 third parties;

21 4. "Commission" means the Oklahoma New Motor Vehicle
22 Commission;

23 5. "Manufacturer" means any person, firm, association,
24 corporation, partnership, trust, joint venture, or common entity

1 thereof, resident or nonresident, that manufactures or assembles new
2 and unused motor vehicles or new and unused powersport vehicles or
3 that engages in the fabrication or assembly of motorized vehicles of
4 a type required to be registered in this state;

5 6. "Distributor" means any person, firm, association,
6 corporation, partnership, trust, joint venture, or common entity
7 thereof, resident or nonresident, that, being authorized by the
8 original manufacturer, in whole or in part sells or distributes new
9 and unused motor vehicles to new motor vehicle dealers or new and
10 unused powersport vehicles to powersport vehicle dealers, or that
11 maintains distributor representatives;

12 7. "Factory branch" means any branch office maintained by a
13 person, firm, association, corporation, partnership, trust, joint
14 venture, or common entity thereof that manufactures or assembles
15 motor vehicles or powersport vehicles for the sale of motor vehicles
16 or powersport vehicles to distributors, or for the sale of motor
17 vehicles to new motor vehicle dealers, or for the sale of powersport
18 vehicles to new powersport vehicle dealers, or for directing or
19 supervising, in whole or in part, its representatives;

20 8. "Distributor branch" means any branch office similarly
21 maintained by a distributor for the same purposes a factory branch
22 is maintained;

23 9. "Factory representative" means any officer ~~or~~, agent,
24 employee or person engaged as a representative of a manufacturer of

1 motor vehicles or powersport vehicles or by a factory branch, for
2 the purpose of making or promoting the sale of its motor vehicles or
3 powersport vehicles, or for supervising or contacting its dealers or
4 prospective dealers;

5 10. "Distributor representative" means any person, firm,
6 association, corporation, partnership, trust, joint venture, or
7 common entity thereof, and each officer ~~and~~, agent, or employee
8 thereof engaged as a representative of a distributor or distributor
9 branch of motor vehicles or powersport vehicles, for the purpose of
10 making or promoting the sale of its motor vehicles or powersport
11 vehicles, or for supervising or contacting its dealers or
12 prospective dealers;

13 11. "Franchise" means any contract or agreement between a new
14 motor vehicle dealer or a powersports vehicle dealer and a
15 manufacturer of a new motor vehicle or powersports vehicle or its
16 distributor or factory branch by which the new motor vehicle dealer
17 or new powersports vehicle dealer is authorized to engage in the
18 activities of a new motor vehicle dealer or new powersports vehicle
19 dealer as defined by this section;

20 12. "New or unused motor vehicle" means a vehicle which is in
21 the possession of the manufacturer or distributor or has been sold
22 only to the holder of a valid franchise granted by the manufacturer
23 or distributor for the sale of that make of new vehicle so long as
24 the manufacturer's statement of origin has not been assigned to

1 anyone other than a licensed franchised new motor vehicle dealer of
2 the same line-make;

3 13. "Area of responsibility" means the geographical area, as
4 designated by the manufacturer, factory branch, factory
5 representative, distributor, distributor branch, or distributor
6 representative, in which the new motor vehicle dealer or powersports
7 dealer is held responsible for the promotion and development of
8 sales and rendering of service for the make of motor vehicle or
9 powersports vehicle for which the new motor vehicle dealer or new
10 powersports vehicle dealer holds a franchise or selling agreement;

11 14. "Off premises" means at a location other than the address
12 designated on the new motor vehicle dealer's or new powersports
13 vehicle dealer's license;

14 15. "Sponsoring entity" means any person, firm, association,
15 corporation, or trust which has control, either permanently or
16 temporarily, over the real property upon which the off-premises sale
17 or display is conducted;

18 16. "Product" means new motor vehicles and new motor vehicle
19 parts or new powersports vehicle and new powersports vehicle parts;

20 17. "Service" means motor vehicle or powersports vehicle
21 warranty repairs including both parts and labor;

22 18. "Lead" means a consumer contact in response to a factory
23 program designed to generate interest in purchasing or leasing a new
24 motor vehicle or new powersports vehicle;

1 19. "Sell" or "sale" means to sell or lease;

2 20. "Factory" means a manufacturer, distributor, factory
3 branch, distributor branch; or any common entity of a manufacturer,
4 distributor, factory branch or distributor branch; or factory
5 representative, or distributor representative, which manufactures or
6 distributes vehicle products, motor vehicles or powersports
7 vehicles, or that maintains factory representatives;

8 21. "Powersports vehicle" means any new or unused motorcycles,
9 scooters, mopeds, all-terrain vehicles, and utility vehicles
10 required to be registered under the Oklahoma Vehicle License and
11 Registration Act, with the exception of all-terrain vehicles,
12 utility vehicles, and motorcycles used exclusively for off-road use
13 which are sold by a retail implement dealer;

14 22. "Powersports vehicle dealer" means any person, firm, or
15 corporation, resident or nonresident, that is in the business of
16 selling any new powersports vehicles except for retail implement
17 dealers;

18 23. "Retail implement dealer" means a business engaged
19 primarily in the sale of farm tractors as defined in Section 1-118
20 of this title or implements of husbandry as defined in Section 1-125
21 of this title or a combination thereof and is exempt from licensing
22 by the Commission for the sale of all-terrain vehicles, utility
23 vehicles, and motorcycles used exclusively for off-road use;

1 24. "Consumer data" means nonpublic personal information as
2 defined in 15 U.S.C., Section 6809(4) as it existed on January 1,
3 2023, that is:

- 4 a. collected by a new motor vehicle dealer, and
- 5 b. provided by the new motor vehicle dealer directly to a
6 manufacturer or third party acting on behalf of a
7 manufacturer.

8 The term shall not include the same or similar data obtained by
9 a manufacturer from any source other than the new motor vehicle
10 dealer or new motor vehicle dealer's data management system;

11 25. "Fleet vehicle" means a new motor vehicle sold and titled
12 or registered to a business and used for business purposes only; and

13 26. a. "Common entity" means any person, firm, association,
14 corporation, partnership, trust, or joint venture
15 acting as a new motor vehicle dealer as defined by
16 paragraph ~~20~~ 2 of this section:

- 17 (1) which is directly or indirectly controlled by or
18 has more than thirty percent (30%) of its equity
19 interest directly or indirectly owned,
20 beneficially or of record, through any form of
21 ownership structure, by a factory, manufacturer,
22 manufacturer branch, distributor, or distributor
23 branch, or

1 (2) which has more than thirty percent (30%) of its
2 equity interest directly or indirectly controlled
3 or owned, beneficially or of record, through any
4 form of ownership structure, by one or more
5 persons who also directly or indirectly control
6 or own, beneficially or of record, more than
7 thirty percent (30%) of the equity interests of a
8 factory, manufacturer, manufacturer branch,
9 distributor, or distributor branch.

- 10 b. Notwithstanding subdivision (1) or (2) of subparagraph
11 a of this paragraph, an entity that would otherwise be
12 considered a common entity of a distributor under
13 subdivision (1) or (2) of subparagraph a of this
14 paragraph because of its relation to a distributor is
15 not considered a common entity of that distributor if:
- 16 (1) the distributor to which the entity is related
 - 17 was a licensed distributor on March 1, 2025,
 - 18 (2) the entity is not a common entity of a
 - 19 manufacturer or an importer, and
 - 20 (3) the distributor to which the entity is related is
 - 21 not, and has never been, a common entity of a
 - 22 manufacturer or an importer.
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SECTION 2. AMENDATORY 47 O.S. 2021, Section 565.2, as last amended by Section 2, Chapter 145, O.S.L. 2024 (47 O.S. Supp. 2025, Section 565.2), is amended to read as follows:

Section 565.2. A. Irrespective of the terms, provisions, or conditions of any franchise, or the terms or provisions of any waiver, no manufacturer shall terminate, cancel, or fail to renew any franchise with a licensed new motor vehicle dealer or new powersports vehicle dealer unless the manufacturer has satisfied the notice requirements as provided in this section and has good cause for cancellation, termination, or nonrenewal. The manufacturer shall not attempt to cancel or fail to renew the franchise agreement of a new motor vehicle dealer in this state unfairly and without just provocation or without due regard to the equities of the dealer or without good faith as defined herein. As used herein, "good faith" means the duty of each party to any franchise agreement to act in a fair and equitable manner toward each other, with freedom from coercion or intimidation or threats thereof from each other.

B. Irrespective of the terms, provisions, or conditions of any franchise, or the terms or provisions of any waiver, good cause shall exist for the purpose of a termination, cancellation, or nonrenewal when:

1. The new motor vehicle dealer or new powersports vehicle dealer has failed to comply with a provision of the franchise, which provision is both reasonable and of material significance to the

franchise relationship, or the new motor vehicle dealer or new powersports vehicle dealer has failed to comply with reasonable performance criteria for sales or service established by the manufacturer, and the new motor vehicle dealer or new powersports vehicle dealer has been notified by written notice from the manufacturer; and

2. The new motor vehicle dealer or new powersports vehicle dealer has received written notification of failure to comply with the manufacturer's reasonable sales performance standards, capitalization requirements, facility commitments, business-related equipment acquisitions, or other such remediable failings exclusive of those reasons enumerated in paragraph 1 of subsection C of this section, and the new motor vehicle dealer or new powersports vehicle dealer has been afforded a reasonable opportunity of not less than six (6) months to comply with such a provision or criteria.

C. Irrespective of the terms, provisions, or conditions of any franchise agreement prior to the termination, cancellation, or nonrenewal of any franchise, the manufacturer shall furnish notification of such termination, cancellation, or nonrenewal to the new motor vehicle dealer or new powersports vehicle dealer and the Oklahoma New Motor Vehicle Commission as follows:

1. Not less than ninety (90) days prior to the effective date of the termination, cancellation, or nonrenewal unless for a cause described in paragraph 2 of this subsection;

1 2. Not less than fifteen (15) days prior to the effective date
2 of the termination, cancellation, or nonrenewal with respect to any
3 of the following:

4 a. insolvency of the new motor vehicle dealer or new
5 powersports vehicle dealer, or the filing of any
6 petition by or against the new motor vehicle dealer or
7 new powersports vehicle dealer under any bankruptcy or
8 receivership law,

9 b. failure of the new motor vehicle dealer or new
10 powersports vehicle dealer to conduct its customary
11 sales and service operations during its customary
12 business hours for seven (7) consecutive business
13 days, provided that such failure to conduct business
14 shall not be due to an act of God or circumstances
15 beyond the direct control of the new motor vehicle
16 dealer, or

17 c. conviction of the new motor vehicle dealer or new
18 powersports vehicle dealer of any felony which is
19 punishable by imprisonment or a violation of the
20 Federal Odometer Act; and

21 3. Not less than one hundred eighty (180) days prior to the
22 effective date of the termination or cancellation where the
23 manufacturer or distributor is discontinuing the sale of the product
24 line.

1 The notification required by this subsection shall be by
2 certified mail, return receipt requested, and shall contain a
3 statement of intent to terminate, to cancel, or to not renew the
4 franchise, a statement of the reasons for the termination,
5 cancellation, or nonrenewal and the date the termination shall take
6 effect.

7 D. Upon the affected new motor vehicle or new powersports
8 vehicle dealer's receipt of the aforementioned notice of
9 termination, cancellation, or nonrenewal, the new motor vehicle
10 dealer shall have the right to file a protest of such threatened
11 termination, cancellation, or nonrenewal with the Commission within
12 thirty (30) days and request a hearing. The hearing shall be held
13 within one hundred eighty (180) days of the date of the timely
14 protest by the dealer and in accordance with the provisions of the
15 Administrative Procedures Act, Sections 250 through 323 of Title 75
16 of the Oklahoma Statutes, to determine if the threatened
17 cancellation, termination, or nonrenewal of the franchise has been
18 for good cause and if the factory has complied with its obligations
19 pursuant to subsections A, B, and C of this section and the factory
20 shall have the burden of proof. Either party may request an
21 additional one-hundred-eighty-day extension of the hearing date from
22 the Commission. Approval of the requested extension may not be
23 unreasonably withheld or delayed. If the Commission finds that the
24 threatened cancellation, termination, or nonrenewal of the franchise

1 has not been for good cause or violates subsection A, B, or C of
2 this section, then it shall issue a final order stating that the
3 threatened termination is wrongful. A factory shall have the right
4 to appeal such order. During the pendency of the hearing and after
5 the decision, through any appeal, the franchise shall remain in full
6 force and effect, including the right to transfer the franchise. If
7 the Commission finds that the threatened cancellation, termination,
8 or nonrenewal is for good cause and does not violate subsection A,
9 B, or C of this section, the new motor vehicle or new powersports
10 vehicle dealer shall have the right to an appeal. During the
11 pendency of the action, including the final decision or appeal, the
12 franchise shall remain in full force and effect, including the right
13 to transfer the franchise. If the ~~new motor vehicle~~ dealer prevails
14 in the threatened termination action, the Commission shall award to
15 the ~~new motor vehicle~~ dealer the attorney fees and costs incurred to
16 defend the action.

17 E. If the factory prevails in an action to terminate, cancel,
18 or not renew any franchise, the new motor vehicle or new powersports
19 vehicle dealer shall be allowed fair and reasonable compensation by
20 the manufacturer for:

21 1. New, current, and previous model year vehicle inventory
22 which has been acquired from the manufacturer, and which is unused
23 and has not been damaged or altered while in the ~~new motor vehicle~~
24 dealer's possession;

1 2. Supplies and parts which have been acquired from the
2 manufacturer, for the purpose of this section, limited to any and
3 all supplies and parts that are listed on the current parts price
4 sheet available to the ~~new motor vehicle~~ dealer;

5 3. Equipment and furnishings, provided the ~~new motor vehicle~~
6 dealer purchased them from the manufacturer or its approved sources;
7 and

8 4. Special tools, with such fair and reasonable compensation to
9 be paid by the manufacturer within ninety (90) days of the effective
10 date of the termination, cancellation, or nonrenewal, provided the
11 ~~new motor vehicle~~ dealer has clear title to the inventory and other
12 items and is in a position to convey that title to the manufacturer.

13 a. For the purposes of paragraph 1 of this subsection,
14 fair and reasonable compensation shall be no less than
15 the net acquisition price of the vehicle paid by the
16 ~~new motor vehicle~~ dealer.

17 b. For the purposes of paragraphs 2, 3, and 4 of this
18 subsection, fair and reasonable compensation shall be
19 the net acquisition price paid by the ~~new motor~~
20 ~~vehicle~~ dealer less a twenty-percent (20%) straight-
21 line depreciation for each year following the dealer's
22 acquisition of the supplies, parts, equipment,
23 furnishings, and/or special tools.

1 F. 1. If a factory prevails in an action to terminate, cancel,
2 or not renew any franchise and the new motor vehicle or new
3 powersports vehicle dealer is leasing the dealership facilities, the
4 manufacturer shall pay a reasonable rent to the lessor in accordance
5 with and subject to the provisions of this subsection. Nothing in
6 this section shall be construed to relieve a new motor vehicle or
7 new powersports vehicle dealer of its duty to mitigate damages.

8 Such reasonable rental value shall be paid only to the extent
9 the dealership premises are recognized in the franchise and only if
10 they are:

11 a. used solely for performance in accordance with the
12 franchise. If the facility is used for the operation
13 of more than one franchise, the reasonable rent shall
14 be paid based upon the portion of the facility
15 utilized by the franchise being terminated, canceled,
16 or nonrenewed, and

17 b. not substantially in excess of facilities recommended
18 by the manufacturer.

19 2. If the facilities are owned by the new motor vehicle or new
20 powersports vehicle dealer, or a related entity as defined in 26
21 U.S.C.A., Section 267(b), or a member, partner or shareholder of the
22 dealership, within ninety (90) days following the effective date of
23 the termination, cancellation, or nonrenewal, except a termination,
24 cancellation, or nonrenewal for a cause listed in paragraph 2 of

1 subsection C of this section, at the dealer or related entity's
2 written request, the manufacturer shall either:

- 3 a. locate a qualified purchaser who will offer to
4 purchase the dealership facilities at a reasonable
5 price,
- 6 b. locate a qualified lessee who will offer to lease the
7 premises for the remaining lease term at the rent set
8 forth in the lease, or
- 9 c. lease the dealership facilities at a reasonable rental
10 value for the portion of the facility that is
11 recognized in the franchise agreement for one and one-
12 half (1.5) years, or
- 13 d. purchase the dealer's existing dealership facility and
14 real estate at its fair market value. If the factory
15 and dealer cannot agree on the fair market value of
16 the terminated franchise or agree to a process to
17 determine the fair market value, then the factory and
18 dealer shall utilize the process described in
19 paragraph 6 of subsection G of this section. If a
20 manufacturer or distributor purchases a dealership
21 facility and real estate, then it shall be entitled to
22 sole ownership, possession, use, and control of any
23 items, buildings, or property that were included in
24 the contract to purchase.

1 3. If the facilities are leased by the new motor vehicle or new
2 powersports vehicle dealer from an entity other than a related
3 entity as defined in 26 U.S.C.A., Section 267(b), or a member,
4 partner, or shareholder of the dealership, within ninety (90) days
5 following the effective date of the termination, cancellation, or
6 nonrenewal the manufacturer will either:

- 7 a. locate a tenant or tenants satisfactory to the lessor,
8 who will sublet or assume the balance of the lease,
- 9 b. arrange with the lessor for the cancellation of the
10 lease without penalty to the ~~new motor vehicle~~ dealer,
11 or
- 12 c. failing the foregoing, lease the dealership facilities
13 at a reasonable rent for the portion of the facility
14 that is recognized in the franchise agreement for one
15 (1) year or the remainder of the lease, whichever is
16 less.

17 4. The manufacturer shall not be obligated to provide
18 assistance under this section if the new motor vehicle or new
19 powersports vehicle dealer:

- 20 a. fails to accept a bona fide offer from a prospective
21 purchaser, sublessee, or assignee,
- 22 b. refuses to execute a settlement agreement with the
23 manufacturer or lessor if such agreement with the
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1 manufacturer or lessor would be without cost to the
2 ~~new motor vehicle~~ dealer, or

3 c. fails to make written request for assistance under
4 this section within ninety (90) days after the
5 effective date of the termination, cancellation, or
6 nonrenewal.

7 5. The manufacturer shall be entitled to occupy and use any
8 space for which it pays rent required by this section.

9 G. In addition to the repurchase requirements set forth in
10 subsections E and F of this section, in the event the termination,
11 cancellation, or nonrenewal is the result of a discontinuance of a
12 product line, the manufacturer or distributor shall compensate the
13 new motor vehicle or new powersports vehicle dealer as follows:

14 1. In an amount equivalent to the fair market value of the
15 terminated franchise as of the date immediately preceding the
16 manufacturer's or distributor's announcement or provide the new
17 motor vehicle dealer with a replacement franchise on substantially
18 similar terms and conditions as those offered to other same line-
19 make dealers;

20 2. If the facilities are owned by the new motor vehicle or new
21 powersports vehicle dealer or a related entity as defined in 26
22 U.S.C.A., Section 267(b), or a member, partner, or shareholder of
23 the dealership, and the owner has not sold the existing dealership
24 facility and real estate within the later of one hundred eighty

1 (180) days of listing the property for sale or ninety (90) days
2 after the effective date of the termination, then, upon the written
3 request of the dealer, the manufacturer or distributor shall
4 purchase the dealer's existing dealership facility and real estate.
5 The facility and real estate shall be valued as if a new motor
6 vehicle or new powersports vehicle dealership continues to operate
7 on the property. If the factory and dealer cannot agree on the
8 value of the terminated franchise or agree to a process to determine
9 the value, then the factory and dealer shall utilize the process
10 described in paragraph 6 of this subsection. If a manufacturer or
11 distributor purchases a dealership facility and real estate, then it
12 shall be entitled to sole ownership, possession, use, and control of
13 any items, buildings, or property that were included in the contract
14 to purchase;

15 3. If the facilities are leased by the new motor vehicle or new
16 powersports vehicle dealer from an entity other than a related
17 entity as defined in 26 U.S.C.A., Section 267(b), or a member,
18 partner or shareholder of the dealership, lease the dealership
19 facilities at a reasonable rent for the remainder of the lease;

20 4. Any amount of pecuniary loss to the new motor vehicle or new
21 powersports vehicle dealership proximately caused by the
22 discontinuation of a product line, including, but not limited to,
23 the cost of terminating services such as the dealership management
24 system contract;

1 5. The new motor vehicle or new powersports vehicle dealer may
2 immediately request payment under this section following the
3 announcement in exchange for canceling any further franchise rights,
4 except payments owed to the new motor vehicle or new powersports
5 vehicle dealer in the ordinary course of business, or may request
6 payment under this section upon the final termination, cancellation,
7 or nonrenewal of the franchise. In either case, payment under this
8 section shall be made not later than ninety (90) days after the fair
9 market value is determined, or the lease agreement is provided and
10 other reasonable documentation is provided to the manufacturer or
11 distributor sufficient to establish other pecuniary losses,
12 whichever is later; and

13 6. If the factory and new motor vehicle or new powersports
14 vehicle dealer cannot agree on the value of the terminated franchise
15 or real estate, or agree to a process to determine the value, then,
16 within thirty (30) days of a written request by dealer, the factory
17 shall select one appraiser, and the dealer shall select one
18 appraiser who shall make an independent appraisal. The appraisers
19 will be state-certified general real estate appraisers and be in
20 good standing with the Oklahoma Real Estate Appraisal Board. Before
21 entering upon their duties, such appraisers shall take and subscribe
22 an oath, before a notary public or some other person authorized to
23 administer oaths, that they will perform their duties faithfully and
24 impartially to the best of their ability. If the appraisals are

1 within ten percent (10%) of each other, the average of the two
2 appraisals shall constitute the value. If the two appraisals differ
3 by more than ten percent (10%), the two appraisers may appoint a
4 third appraiser who shall review the two appraisals. The third
5 appraisal, when taken with the first two appraisals and averaged
6 among the three, shall establish the value. The cost of the third
7 appraiser shall be shared equally by the factory and dealer. The
8 appraisers shall make a valuation and determine the amount of
9 compensation to be paid by the factory to the dealer. The factory
10 will then have ninety (90) days to complete the transaction, unless
11 otherwise agreed to by the parties. The factory and the dealer
12 shall each be responsible for the appraiser it retains.

13 SECTION 3. REPEALER 47 O.S. 2021, Section 562, as last
14 amended by Section 2, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025,
15 Section 562), is hereby repealed.

16 SECTION 4. REPEALER 47 O.S. 2021, Section 565.2, as last
17 amended by Section 9, Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2025,
18 Section 565.2), is hereby repealed.

19 SECTION 5. This act shall become effective November 1, 2026."
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1 Passed the House of Representatives the 28th day of April, 2026.

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4 Presiding Officer of the House of
Representatives
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6 Passed the Senate the ____ day of _____, 2026.

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9 Presiding Officer of the Senate
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1 ENGROSSED SENATE
2 BILL NO. 604

By: Gollihare of the Senate

3 and

4 Dobrinski of the House

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6 An Act relating to motor vehicles; amending 47 O.S.
7 2021, Sections 562 and 564, as last amended by
8 Sections 2 and 4, Chapter 240, O.S.L. 2024 (47 O.S.
9 Supp. 2024, Sections 562 and 564), which relate to
10 definitions and licenses; modifying definitions;
11 defining terms; modifying list of entities requiring
12 licensure; removing certain exception; amending
13 Section 1, Chapter 29, O.S.L. 2023 (47 O.S. Supp.
14 2024, Section 564.3), which relates to dealer
15 management system providers; modifying definitions;
16 requiring certain commercially reasonable data
17 security standards; modifying entities not liable for
18 certain actions; modifying entities required to
19 provide certain indemnification; prohibiting certain
20 actions by certain entities; defining certain term;
21 amending 47 O.S. 2021, Section 565, as last amended
22 by Section 7, Chapter 240, O.S.L. 2024 (47 O.S. Supp.
23 2024, Section 565), which relates to the denial,
24 revocation, or suspension of license; modifying
reasons for which a license may be denied, revoked,
or suspended; defining term; removing language
requiring certain dealer compliance; and providing an
effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 6. AMENDATORY 47 O.S. 2021, Section 562, as last
amended by Section 2, Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2024,
Section 562), is amended to read as follows:

1 Section 562. The following words, terms, and phrases, when used
2 in Sections 561 through 567, 572, 578.1, 579, and 579.1 of this
3 title, shall have the meanings respectively ascribed to them in this
4 section, except where the context clearly indicates a different
5 meaning:

6 1. "Motor vehicle" means any motor-driven vehicle required to
7 be registered under the Oklahoma Vehicle License and Registration
8 Act. The term motor vehicle does not include:

9 a. recreational vehicles, as defined in the Recreational
10 Vehicle Franchise Act, or

11 b. powersport vehicles;

12 2. "New motor vehicle dealer" means any person, firm,
13 association, corporation, or trust not excluded by this paragraph
14 who sells, offers for sale, advertises to sell, receives deposits
15 for vehicles, leases, or displays new motor vehicles and holds a
16 bona fide contract or franchise in effect with a manufacturer or
17 distributor authorized by the manufacturer to make predelivery
18 preparation of such vehicles sold to purchasers and to perform post-
19 sale work pursuant to the manufacturer's or distributor's warranty.
20 As used herein, "authorized predelivery preparation" means the
21 rendition by the dealer of services and safety adjustments on each
22 new motor vehicle in accordance with the procedure and safety
23 standards required by the manufacturer of the vehicle to be made
24 before its delivery to the purchaser. "Performance of authorized

1 post-sale work pursuant to the warranty", as used herein, means the
2 rendition of services which are required by the terms of the
3 warranty that stands extended to the vehicle at the time of its sale
4 and are to be made in accordance with the safety standards
5 prescribed by the manufacturer. The term includes premises or
6 facilities at which a person engages only in the repair of motor
7 vehicles if repairs are performed pursuant to the terms of a
8 franchise and motor vehicle manufacturer's warranty. For the
9 purpose of Sections 561 through 567, 572, 578.1, 579, and 579.1 of
10 this title, the terms new motor vehicle dealer and "new motor
11 vehicle dealership" shall be synonymous. The term new motor vehicle
12 dealer does not include:

- 13 a. receivers, trustees, administrators, executors,
14 guardians, or other persons appointed by or acting
15 under judgment or order of any court,
- 16 b. public officers while performing or in operation of
17 their duties,
- 18 c. employees of persons, corporations, or associations
19 enumerated in subparagraph a of this paragraph when
20 engaged in the specific performance of their duties as
21 such employees, or
- 22 d. a powersports vehicle dealer;

23 3. "Motor vehicle salesperson" means any person, resident or
24 nonresident, who, for gain or compensation of any kind, either

1 directly or indirectly, regularly or occasionally, by any form of
2 agreement or arrangement, sells or negotiates for the sale, lease,
3 or conveyance or arranges the financing of any new motor vehicle or
4 powersports vehicle as an employee for any new motor vehicle dealer
5 or powersports dealer to any one or more third parties;

6 4. "Commission" means the Oklahoma New Motor Vehicle
7 Commission;

8 5. "Manufacturer" means any person, firm, association,
9 corporation, ~~or~~ partnership, trust, joint venture, or common entity
10 thereof, resident or nonresident, that manufactures or assembles new
11 and unused motor vehicles or new and unused powersport vehicles or
12 that engages in the fabrication or assembly of motorized vehicles of
13 a type required to be registered in this state;

14 6. "Distributor" means any person, firm, association,
15 corporation, ~~or~~ partnership, trust, joint venture, or common entity
16 thereof, resident or nonresident, that, being authorized by the
17 original manufacturer, in whole or in part sells or distributes new
18 and unused motor vehicles to new motor vehicle dealers or powersport
19 dealers, or that maintains distributor representatives;

20 7. "Factory branch" means any branch office maintained by a
21 person, firm, association, corporation, ~~or~~ partnership, trust, joint
22 venture, or common entity thereof that manufactures or assembles
23 motor vehicles or powersport vehicles for the sale of motor vehicles
24 or powersport vehicles to distributors, or for the sale of motor

1 vehicles to new motor vehicle dealers, or for the sale of powersport
2 vehicles to new powersport vehicle dealers, or for directing or
3 supervising, in whole or in part, its representatives;

4 8. "Distributor branch" means any branch office similarly
5 maintained by a distributor for the same purposes a factory branch
6 is maintained;

7 9. "Factory representative" means any officer or agent engaged
8 as a representative of a manufacturer of motor vehicles or
9 powersport vehicles or by a factory branch, for the purpose of
10 making or promoting the sale of its motor vehicles or powersport
11 vehicles, or for supervising or contacting its dealers or
12 prospective dealers;

13 10. "Distributor representative" means any person, firm,
14 association, corporation, ~~or~~ partnership, trust, joint venture, or
15 common entity thereof, and each officer and employee thereof engaged
16 as a representative of a distributor or distributor branch of motor
17 vehicles or powersport vehicles, for the purpose of making or
18 promoting the sale of its motor vehicles or powersport vehicles, or
19 for supervising or contacting its dealers or prospective dealers;

20 11. "Franchise" means any contract or agreement between a new
21 motor vehicle dealer or a powersports vehicle dealer and a
22 manufacturer of a new motor vehicle or powersports vehicle or its
23 distributor or factory branch by which the new motor vehicle dealer
24 or new powersports vehicle dealer is authorized to engage in the

1 activities of a new motor vehicle dealer or new powersports vehicle
2 dealer as defined by this section;

3 12. "New or unused motor vehicle" means a vehicle which is in
4 the possession of the manufacturer or distributor or has been sold
5 only to the holder of a valid franchise granted by the manufacturer
6 or distributor for the sale of that make of new vehicle so long as
7 the manufacturer's statement of origin has not been assigned to
8 anyone other than a licensed franchised new motor vehicle dealer of
9 the same line-make;

10 13. "Area of responsibility" means the geographical area, as
11 designated by the manufacturer, factory branch, factory
12 representative, distributor, distributor branch, or distributor
13 representative, in which the new motor vehicle dealer or powersports
14 dealer is held responsible for the promotion and development of
15 sales and rendering of service for the make of motor vehicle or
16 powersports vehicle for which the new motor vehicle dealer or new
17 powersports vehicle dealer holds a franchise or selling agreement;

18 14. "Off premises" means at a location other than the address
19 designated on the new motor vehicle dealer's or new powersports
20 vehicle dealer's license;

21 15. "Sponsoring entity" means any person, firm, association,
22 corporation, or trust which has control, either permanently or
23 temporarily, over the real property upon which the off-premises sale
24 or display is conducted;

1 16. "Product" means new motor vehicles and new motor vehicle
2 parts or new powersports vehicle and new powersports vehicle parts;

3 17. "Service" means motor vehicle or powersports vehicle
4 warranty repairs including both parts and labor;

5 18. "Lead" means a consumer contact in response to a factory
6 program designed to generate interest in purchasing or leasing a new
7 motor vehicle or new powersports vehicle;

8 19. "Sell" or "sale" means to sell or lease;

9 20. "Factory" means a manufacturer, distributor, factory
10 branch, distributor branch, any common entity of a manufacturer,
11 distributor, factory branch, or distributor branch; or factory
12 representative, or distributor representative, which manufactures or
13 distributes vehicle products;

14 21. "Powersports vehicle" means any new or unused motorcycles,
15 scooters, mopeds, all-terrain vehicles, and utility vehicles
16 required to be registered under the Oklahoma Vehicle License and
17 Registration Act, with the exception of all-terrain vehicles,
18 utility vehicles, and motorcycles used exclusively for off-road use
19 which are sold by a retail implement dealer;

20 22. "Powersports vehicle dealer" means any person, firm, or
21 corporation, resident or nonresident, that is in the business of
22 selling any new powersports vehicles except for retail implement
23 dealers;

1 23. "Retail implement dealer" means a business engaged
2 primarily in the sale of farm tractors as defined in Section 1-118
3 of this title or implements of husbandry as defined in Section 1-125
4 of this title or a combination thereof and is exempt from licensing
5 by the Commission for the sale of all-terrain vehicles, utility
6 vehicles, and motorcycles used exclusively for off-road use;

7 24. "Consumer data" means nonpublic personal information as
8 defined in 15 U.S.C., Section 6809(4) as it existed on January 1,
9 2023, that is:

- 10 a. collected by a new motor vehicle dealer, and
- 11 b. provided by the new motor vehicle dealer directly to a
- 12 manufacturer or third party acting on behalf of a
- 13 manufacturer.

14 The term shall not include the same or similar data obtained by
15 a manufacturer from any source other than the new motor vehicle
16 dealer or new motor vehicle dealer's data management system; ~~and~~

17 25. "Fleet vehicle" means a new motor vehicle sold and titled
18 or registered to a business and used for business purposes only; and

19 26. a. "Common entity" means any person, firm, association,
20 corporation, partnership, trust, or joint venture
21 acting as a new motor vehicle dealer which:

- 22 (1) is directly or indirectly controlled by or has
- 23 more than thirty percent (30%) of its equity
- 24 interest directly or indirectly owned,

1 beneficially or of record, through any form of
2 ownership structure, by a factory, manufacturer,
3 manufacturer branch, distributor, or distributor
4 branch, or

5 (2) has more than thirty percent (30%) of its equity
6 interest directly or indirectly controlled or
7 owned, beneficially or of record, through any
8 form of ownership structure, by one or more
9 persons who also directly or indirectly control
10 or own, beneficially or of record, more than
11 thirty percent (30%) of the equity interests of
12 the factory, manufacturer, manufacturer branch,
13 distributor, or distributor branch.

14 b. An entity that would otherwise be considered a common
15 entity of a distributor as provided in division 1 or 2
16 of subparagraph a of this paragraph because of its
17 relation to a distributor is not considered a common
18 entity of that distributor if:

19 (1) the distributor to which the entity is related
20 was a licensed distributor on March 1, 2025,

21 (2) the entity is not a common entity of a
22 manufacturer or an importer, and
23
24

1 (3) the distributor to which the entity is related is
2 not, and has never been, a common entity of a
3 manufacturer or an importer.

4 SECTION 7. AMENDATORY 47 O.S. 2021, Section 564, as last
5 amended by Section 4, Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2024,
6 Section 564), is amended to read as follows:

7 Section 564. A. It shall be unlawful for any person, firm,
8 association, corporation, ~~or~~ partnership, trust, joint venture, or
9 common entity thereof, to engage in business as, or serve in the
10 capacity of, or act as a new motor vehicle dealer, powersports
11 dealer, or manufacturer or distributor of new motor vehicles or
12 powersports vehicles, or factory branch, distributor branch or
13 factory representative or distributor representative, as defined in
14 Section 562 of this title, in this state without first obtaining a
15 license therefor as provided for by law. Any person, firm,
16 association, corporation, ~~or~~ partnership, trust, joint venture, or
17 common entity thereof, engaging in more than one of such capacities
18 or having more than one place where such business is carried on or
19 conducted in this state shall be required to obtain and hold a
20 current license for each thereof. Provided that, a new motor
21 vehicle dealer's license shall authorize one person to sell in the
22 event such person shall be the owner of a proprietorship, or the
23 person designated as principal in the dealer's franchise or the
24 managing officer or one partner if no principal person is named in

1 the franchise. It is further provided that a factory ~~or an entity~~
2 ~~affiliated by any ownership or control by the factory~~ shall not be
3 permitted to engage in the activities of a new motor vehicle dealer
4 as defined in Section 562 of this title or be licensed as a new
5 motor vehicle dealer in this state, except as provided by
6 subparagraph b of paragraph 12 of Section 565 of this title.

7 B. Applications for licenses required to be obtained under the
8 provisions of Section 561 et seq. of this title shall be verified by
9 the oath or affirmation of the applicant and shall be on forms
10 prescribed by the Oklahoma New Motor Vehicle Commission and
11 furnished to the applicants, and shall contain information as the
12 Commission deems necessary to enable it to fully determine the
13 qualifications and eligibility of the several applicants to receive
14 the license or licenses applied for. The Commission shall require
15 in such application, or otherwise, information relating to the
16 applicant's current financial standing, the applicant's business
17 integrity, whether the applicant has an established place of
18 business and is primarily engaged in the pursuit, avocation, or
19 business for which a license, or licenses, are applied for, and
20 whether the applicant is able to properly conduct the business for
21 which a license, or licenses, are applied for, and such other
22 pertinent information consistent with the safeguarding of the public
23 interest and the public welfare. All applications for license or
24 licenses shall be accompanied by the appropriate fee or fees

1 therefor in accordance with the schedule thereof hereinafter set
2 out. In the event any application is denied and the license applied
3 for is not issued, the entire license fee shall be returned to the
4 applicant. All licenses issued under the provisions of Section 561
5 et seq. of this title shall expire on June 30, following the date of
6 issue and shall be nontransferable. All applications for renewal of
7 a license for a new motor vehicle dealer, powersports dealer,
8 manufacturer, distributor, or manufacturer's or distributor's
9 representative shall be submitted by June 1 of each year, and such
10 license or licenses will be issued by July 1. If applications have
11 not been made for renewal of licenses at the times described in this
12 subsection, it shall be illegal for any person to represent himself
13 or herself and act as a dealer, manufacturer, distributor, or
14 manufacturer's or distributor's representative. Service Oklahoma
15 and licensed operators will be notified not to accept such dealers'
16 titles until such time as licenses have been issued by the
17 Commission.

18 C. The schedule of license fees to be charged and received by
19 the Commission for the licenses issued hereunder shall be as
20 follows:

21 1. For each factory branch or distributor branch, Four Hundred
22 Dollars (\$400.00) initial fee with annual renewal fee of Three
23 Hundred Dollars (\$300.00);
24

1 2. For each manufacturer or distributor of new motor vehicles
2 or new powersport vehicles, Four Hundred Dollars (\$400.00) initial
3 fee with annual renewal fee of Three Hundred Dollars (\$300.00);

4 3. For each factory representative or distributor
5 representative, One Hundred Dollars (\$100.00) annually;

6 4. For each new motor vehicle dealer, except powersports
7 vehicle dealers, initial fee of Three Hundred Dollars (\$300.00) per
8 franchise sold at each location licensed, with an annual renewal fee
9 of One Hundred Dollars (\$100.00) per franchise sold at each location
10 licensed per year; and

11 5. For each powersports vehicle dealer, initial fee of Three
12 Hundred Dollars (\$300.00) per manufacturer represented by the dealer
13 at each location licensed, with an annual renewal fee of One Hundred
14 Dollars (\$100.00) per manufacturer represented by the dealer at each
15 location licensed per year.

16 D. The licenses issued to each new motor vehicle dealer, new
17 powersports vehicle dealer, manufacturer, distributor, factory
18 branch, or distributor branch shall specify the location of the
19 factory, office, or branch thereof. In case such location is
20 changed, the Commission may endorse the change of location on the
21 license without charge unless the change of address triggers a
22 relocation of a new motor vehicle dealer or new powersports vehicle
23 dealer pursuant to the provisions of Section 578.1 of this title.
24

1 The licenses of each new vehicle dealer shall be posted in a
2 conspicuous place in the dealer's place or places of business.

3 Every motor vehicle factory representative or distributor
4 representative shall physically possess the license when engaged in
5 business and shall display such upon request. The name of the
6 employer of such factory representative or distributor
7 representative shall be stated on the license.

8 E. The new powersports dealer license shall only allow the sale
9 of the specific types of powersports vehicles authorized by the
10 manufacturer and agreed to by the powersports dealer.

11 SECTION 8. AMENDATORY Section 1, Chapter 29, O.S.L. 2023
12 (47 O.S. Supp. 2024, Section 564.3), is amended to read as follows:

13 Section 564.3. A. As used in this section:

14 1. "Access fee" means a requirement to pay money for access to
15 protected dealer data that is in addition to an amount specified in
16 a written and executed contract for goods and services;

17 2. "Authorized integrator" means a person who a dealer has a
18 contractual relationship with or the dealer otherwise gives express
19 written authorization to have access to protected dealer data stored
20 on a dealer data system or to write protected dealer data to the
21 dealer data system for the purpose of performing a specific function
22 for the dealer;

23

24

1 3. "Dealer data system" means software, hardware, or firmware
2 that a dealer leases or rents from a dealer management system
3 provider for the purpose of storing protected dealer data;

4 4. "Dealer management system provider" means a person who, for
5 compensation, maintains and provides access to a dealer data system
6 in which a dealer stores protected dealer data;

7 5. "Protected dealer data" means:

8 a. consumer data that a dealer generated or that the
9 consumer provided to the dealer that is not otherwise
10 publicly available and the consumer has not otherwise
11 provided consent or acknowledgment to share the
12 information, and

13 b. any other dealer data in connection with the dealer's
14 daily business operations in which a dealer has rights
15 in a dealer data system; and

16 6. Authorized integrator and dealer management system provider
17 do not include:

18 a. a ~~manufacturer, distributor, importer,~~ factory or any
19 entity that ~~is a subsidiary or affiliate of,~~ or acts
20 on behalf of, a ~~manufacturer, distributor, or importer~~
21 factory, including any subsidiary or affiliate of a
22 factory, or

1 b. a governmental body or other person that is acting in
2 accordance with federal, state, or local law, or a
3 valid court order.

4 B. A dealer management system provider may:

5 1. Condition access and ability of a dealer or authorized
6 integrator to receive, share, copy, use, write, or transmit
7 protected dealer data from or to a dealer data system on the
8 dealer's or authorized integrator's compliance with commercially
9 reasonable data security standards;

10 2. Require an authorized integrator to have express written
11 authorization from a dealer before allowing the authorized
12 integrator to gain access to, receive, share, copy, use, or transmit
13 protected dealer data; and

14 3. Deny access to a dealer data system to a dealer if the
15 dealer fails to pay an amount due to the dealer management system
16 provider under a lease, contract, or other agreement concerning the
17 dealer's access to or use of the dealer data system.

18 C. Except as provided in subsection B of this section, a dealer
19 management system provider shall not take any action that would
20 limit or prohibit the ability of a dealer or an authorized
21 integrator to receive, protect, store, copy, share, or use protected
22 dealer data using means that include, but are not limited to:

23 1. Imposing an access fee on a dealer or authorized integrator;
24 and

1 2. Restricting a dealer or an authorized integrator from
2 sharing protected dealer data or writing data or having access to a
3 dealer data system. Prohibited restrictions pursuant to this
4 paragraph include, but are not limited to:

- 5 a. limits on the scope or nature of protected dealer data
6 to which a dealer or authorized integrator has access
7 or may share or write to a dealer data system, and
- 8 b. a requirement for a dealer or authorized integrator to
9 provide sensitive or confidential business information
10 or information that a dealer or authorized integrator
11 uses for competitive purposes in return for access to
12 protected dealer data or an authorization to share or
13 write protected dealer data to a dealer data system.

14 D. Except as otherwise provided in this section, any term or
15 condition of a contract with a dealer management system provider
16 that conflicts with the requirements set forth in subsection C of
17 this section is void and unenforceable to the extent of the
18 conflict.

19 E. An authorized integrator shall:

- 20 1. Obtain express written authorization from a dealer before
21 gaining access to, receiving, sharing, copying, using, writing, or
22 transmitting protected dealer data;

1 2. Comply with security standards in gaining access to,
2 receiving, sharing, copying, using, writing, or transmitting
3 protected dealer data; and

4 3. Allow a dealer to withdraw, revoke, or amend any express
5 written authorization the dealer provides under paragraph 1 of this
6 subsection:

7 a. at the sole discretion of the dealer, if the dealer
8 gives a thirty-day prior notice to an authorized
9 integrator, or

10 b. immediately, for good cause.

11 F. 1. This section does not prevent a dealer, a dealer
12 management system provider, or an authorized integrator from
13 discharging the obligations of a dealer, dealer management system
14 provider, or of an authorized integrator under federal, state, or
15 local law to secure and prevent unauthorized access to protected
16 dealer data, or from limiting the scope of the obligations, in
17 accordance with federal, state, or local law.

18 2. A dealer management system provider is not liable for any
19 action that a dealer takes directly with respect to securing or
20 preventing unauthorized access to protected dealer data, or for
21 actions that an authorized integrator takes in appropriately
22 following the written instructions of the dealer for securing or
23 preventing unauthorized access to protected dealer data, to the
24 extent that the actions prevent the dealer management system

1 provider from meeting a legal obligation to secure or prevent
2 unauthorized access to protected dealer data.

3 3. A dealer is not liable for any action that an authorized
4 integrator takes directly with respect to securing or preventing
5 unauthorized access to protected dealer data, or for actions that
6 the authorized integrator takes in appropriately following the
7 written instructions of the dealer for securing or preventing
8 unauthorized access to protected dealer data, to the extent that the
9 actions prevent the dealer from meeting a legal obligation to secure
10 or prevent unauthorized access to protected dealer data.

11 4. An authorized integrator is not liable for any action that a
12 dealer takes directly with respect to securing or preventing
13 unauthorized access to protected dealer data, or for actions that
14 the dealer takes in appropriately following the written instructions
15 of the authorized integrator for securing or preventing unauthorized
16 access to protected dealer data, to the extent that the actions
17 prevent the authorized integrator from meeting a legal obligation to
18 secure or prevent unauthorized access to protected dealer data.

19 5. A ~~manufacturer, distributor, importer,~~ factory or any entity
20 that ~~is a subsidiary or affiliate of, or acts on behalf of,~~ a
21 ~~manufacturer, distributor, or importer~~ factory, including any
22 subsidiary or affiliate of a factory, is not liable for any action
23 that a dealer, dealer management system provider, authorized
24 integrator, or other third party, except for a third party who the

1 manufacturer has provided the data to as provided for in paragraph 7
2 of this subsection, takes directly with respect to securing or
3 preventing unauthorized access to protected dealer data or for
4 actions that an authorized integrator, dealer management system
5 provider, or other third party takes in appropriately following the
6 written instructions of the dealer for securing or preventing
7 unauthorized access to protected dealer data.

8 6. Notwithstanding any other agreement, an authorized
9 integrator shall indemnify and hold the new motor vehicle dealer
10 harmless from any third-party claims asserted against or damages
11 incurred by the new motor vehicle dealer to the extent caused by
12 access to, use of, or disclosure of consumer data in violation of
13 this section.

14 7. Notwithstanding any other agreement, a ~~manufacturer,~~
15 ~~distributor, importer, factory~~ or any entity that ~~is a subsidiary or~~
16 ~~affiliate of, or acts on behalf of, a manufacturer, distributor, or~~
17 ~~importer~~ factory, including any subsidiary or affiliate of a
18 factory, shall indemnify the dealer for any third-party claims
19 asserted against or damages incurred by the dealer to the extent the
20 claims or damages are caused by the access to and unlawful
21 disclosure of protected dealer data resulting from a breach caused
22 by the manufacturer or distributor or a third party to which the
23 manufacturer or distributor has provided the protected dealer data
24

1 in violation of this section, the written consent granted by the
2 dealer, or other applicable state or federal law.

3 G. A factory or any entity that acts on behalf of a factory
4 shall not prohibit an authorized integrator that has satisfied, or
5 is compliant with, commercially reasonable data security standards
6 and that the dealer has identified as one of its authorized
7 integrators from integrating into the dealer's dealer data system or
8 place an unreasonable restriction on integration by an authorized
9 integrator or other third party that the dealer wishes to be an
10 authorized integrator. For the purposes of this subsection,
11 "unreasonable restriction" includes:

12 1. Imposing an access fee on a dealer or authorized integrator;
13 however, a franchisor or third party may charge a franchise or
14 authorized integrator for actual costs associated with modifications
15 to a franchisor's electronic systems to enable a secure interface
16 with the authorized integrator's system and software;

17 2. An unreasonable limitation or condition on the scope or
18 nature of the data that is shared with an authorized integrator;

19 3. An unreasonable limitation on the ability of the authorized
20 integrator to write data to a dealer data system;

21 4. An unreasonable limitation or condition on an authorized
22 integrator that accesses or shares protected dealer data or that
23 writes data to a dealer data system; and
24

1 5. Requiring unreasonable access to an authorized integrator's
2 sensitive, competitive, or other confidential business information
3 as a condition for accessing protected dealer data or sharing
4 protected dealer data with an authorized integrator.

5 Notwithstanding paragraph 1 of this subsection, a factory or entity
6 that acts on behalf of a factory, including any subsidiary or
7 affiliate of a factory, may charge a motor vehicle dealer or
8 authorized integrator for costs associated with modifications to a
9 franchisor's electronic systems to enable a functional and secure
10 interface with the authorized integrator's system and software.

11 SECTION 9. AMENDATORY 47 O.S. 2021, Section 565, as last
12 amended by Section 7, Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2024,
13 Section 565), is amended to read as follows:

14 Section 565. A. The Oklahoma New Motor Vehicle Commission may
15 deny an application for a license, revoke or suspend a license, or
16 impose a fine against any person or entity, not to exceed Ten
17 Thousand Dollars (\$10,000.00) per occurrence, that violates any
18 provision of Sections 561 through 567, 572, 578.1, 579, and 579.1 of
19 this title or for any of the following reasons:

20 1. On satisfactory proof of unfitness of the applicant in any
21 application for any license under the provisions of Section 561 et
22 seq. of this title;

1 2. For any material misstatement made by an applicant in any
2 application for any license under the provisions of Section 561 et
3 seq. of this title;

4 3. For any failure to comply with any provision of Section 561
5 et seq. of this title or any rule promulgated by the Commission
6 under authority vested in it by Section 561 et seq. of this title;

7 4. A change of condition after license is granted resulting in
8 failure to maintain the qualifications for license;

9 5. Being a new motor vehicle dealer or new powersports vehicle
10 dealer who:

11 a. has required a purchaser of a new motor vehicle or new
12 powersports vehicle, as a condition of sale and
13 delivery thereof, to also purchase special features,
14 appliances, accessories, or equipment not desired or
15 requested by the purchaser and installed by the new
16 motor vehicle dealer or new powersports vehicle
17 dealer,

18 b. uses any false or misleading advertising in connection
19 with business as a new motor vehicle dealer or new
20 powersports vehicle dealer,

21 c. has committed any unlawful act which resulted in the
22 revocation of any similar license in another state,
23
24

- d. has failed or refused to perform any written agreement with any retail buyer involving the sale of a motor vehicle or powersports vehicle,
- e. has been convicted of a felony crime that substantially relates to the occupation of a new motor vehicle dealer or new powersports vehicle dealer and poses a reasonable threat to public safety,
- f. has committed a fraudulent act in selling, purchasing, or otherwise dealing in new motor vehicles or new powersports vehicles or has misrepresented the terms and conditions of a sale, purchase or contract for sale or purchase of a new motor vehicle or new powersports vehicle or any interest therein including an option to purchase such vehicle,
- g. has failed to meet or maintain the conditions and requirements necessary to qualify for the issuance of a license, or
- h. completes any sale or transaction of an extended service contract, extended maintenance plan, or similar product using contract forms that do not conspicuously disclose the identity of the service contract provider;

6. Being a new motor vehicle salesperson who is not employed as such by a licensed new motor vehicle dealer;

1 7. Being a new motor vehicle dealer or new powersports vehicle
2 dealer who:

- 3 a. does not have an established place of business,
- 4 b. does not provide for a suitable repair shop separate
5 from the display room with ample space to repair or
6 recondition one or more vehicles at the same time, and
7 which is staffed with properly trained and qualified
8 repair technicians and is equipped with such parts,
9 tools, and equipment as may be requisite for the
10 servicing of motor vehicles in such a manner as to
11 make them comply with the safety laws of this state
12 and to properly fulfill the dealer's or manufacturer's
13 warranty obligation,
- 14 c. does not hold a franchise in effect with a
15 manufacturer or distributor of new or unused vehicles
16 for the sale of the same and is not authorized by the
17 manufacturer or distributor to render predelivery
18 preparation of such vehicles sold to purchasers and to
19 perform any authorized post-sale work pursuant to the
20 manufacturer's or distributor's warranty,
- 21 d. employs or utilizes the services of used motor vehicle
22 lots or dealers or other unlicensed persons or
23 unregistered persons in connection with the sale of
24 new vehicles,

1 e. does not properly service a new motor vehicle or new
2 powersports vehicle before delivery of same to the
3 original purchaser thereof, or

4 f. fails to order and stock a reasonable number of new
5 motor vehicles necessary to meet consumer demand for
6 each of the new motor vehicles included in the new
7 motor vehicle dealer's franchise agreement, unless the
8 new motor vehicles are not readily available from the
9 manufacturer or distributor due to limited production;

10 8. Being a factory that has:

11 a. either induced or attempted to induce by means of
12 coercion or intimidation, any new motor vehicle dealer
13 or powersports vehicle dealer:

14 (1) to accept delivery of any vehicle or vehicles,
15 parts, or accessories therefor, or any other
16 commodities including advertising material which
17 shall not have been ordered by the new motor
18 vehicle dealer,

19 (2) to order or accept delivery of any motor vehicle
20 or powersports vehicle with special features,
21 appliances, accessories, or equipment not
22 included in the list price of the vehicles as
23 publicly advertised by the manufacturer thereof,
24 or

1 (3) to order or accept delivery of any parts,
2 accessories, equipment, machinery, tools,
3 appliances, or any commodity whatsoever,
4 b. induced under threat or discrimination by the
5 withholding from delivery to a new motor vehicle
6 dealer or new powersports vehicle dealer certain
7 models of motor vehicles, changing or amending
8 unilaterally the new motor vehicle dealer's allotment
9 of motor vehicles, and/or withholding and delaying
10 delivery of the vehicles out of the ordinary course of
11 business, in order to induce by such coercion any new
12 motor vehicle dealer or new powersports vehicle dealer
13 to participate or contribute to any local or national
14 advertising fund controlled directly or indirectly by
15 the factory or for any other purposes such as contest,
16 "giveaways", or other so-called sales promotional
17 devices, and/or change of quotas in any sales contest;
18 or has required new motor vehicle dealers, as a
19 condition to receiving their vehicle allotment, to
20 order a certain percentage of the vehicles with
21 optional equipment not specified by the dealer;
22 however, nothing in this section shall prohibit a
23 factory from supporting an advertising association
24

- 1 which is open to all new motor vehicle dealers or new
2 powersports vehicle dealers on the same basis,
- 3 c. used a performance standard, sales objective, or
4 program for measuring dealer performance that may have
5 a material effect on a right of the dealer to vehicle
6 allocation; or payment under any incentive or
7 reimbursement program that is unfair, unreasonable,
8 inequitable, and not based on accurate information,
- 9 d. used a performance standard for measuring sales or
10 service performance ~~of~~ that results in penalizing any
11 new motor vehicle dealer or new powersports vehicle
12 dealer under the terms of the franchise agreement
13 which:
- 14 (1) is unfair, unreasonable, arbitrary, or
15 inequitable, ~~and~~
- 16 (2) does not consider the relevant and material local
17 and state or regional criteria, including
18 prevailing economic conditions affecting the
19 sales or service performance of a vehicle dealer
20 ~~or~~ and any relevant and material data and facts
21 presented by the dealer in writing within thirty
22 (30) days of the written notice of the
23 manufacturer to the dealer of its intention to
24

cancel, terminate, or not renew the dealer's franchise agreement, and

(3) does not consider the actual vehicle allocation offered or otherwise made available to the dealer by the manufacturer or distributor, as well as the dealer's inventory levels relevant to achieve any minimum performance standards to which the manufacturer or distributor holds the dealer accountable,

e. failed or refused to sell, or offer for sale, new motor vehicles to all of its authorized same line-make franchised new motor vehicle dealers or new powersports vehicle dealers at the same price for a comparably equipped motor vehicle, on the same terms, with no differential in functionally available discount, allowance, credit, or bonus, except as provided in subparagraph e of paragraph 9 of this subsection,

f. failed to provide reasonable compensation to a new motor vehicle dealer substantially equivalent to the actual cost of providing a manufacturer required loaner or rental vehicle to any consumer who is having a vehicle serviced at the dealership. For purposes of this paragraph, actual cost is the average cost in the

1 new motor vehicle dealer's region for the rental of a
2 substantially similar make and model as the vehicle
3 being serviced, or

- 4 g. failed to make available to its new motor vehicle
5 dealers a fair and proportional share of all new
6 vehicles distributed to same line-make dealers in this
7 state, subject to the same reasonable terms, including
8 any vehicles distributed from a common new vehicle
9 inventory pool outside of the factory's ordinary
10 allocation process such as any vehicles the factory
11 reserves to distribute on a discretionary basis;

12 9. Being a factory that:

- 13 a. has attempted to coerce or has coerced any new motor
14 vehicle dealer or new powersports vehicle dealer to
15 enter into any agreement or to cancel any agreement;
16 has failed to act in good faith and in a fair,
17 equitable, and nondiscriminatory manner; has directly
18 or indirectly coerced, intimidated, threatened, or
19 restrained any new motor vehicle dealer; has acted
20 dishonestly; or has failed to act in accordance with
21 the reasonable standards of fair dealing,
- 22 b. has failed to compensate its dealers for the work and
23 services they are required to perform in connection
24 with the dealer's delivery and preparation obligations

1 according to the agreements on file with the
2 Commission which must be found by the Commission to be
3 reasonable, or has failed to adequately and fairly
4 compensate its dealers for labor, parts, and other
5 expenses incurred by the dealer to perform under and
6 comply with manufacturer's warranty agreements and
7 recall repairs which shall include diagnostic work as
8 applicable and assistance requested by a consumer
9 whose vehicle was subjected to an over-the-air or
10 remote change, repair, or update to any part, system,
11 accessory, or function by the manufacturer and
12 performed by the dealer in order to satisfy the
13 consumer. Time allowances for the diagnosis and
14 performance of repair work shall be reasonable and
15 adequate for the work to be performed. Adequate and
16 fair compensation, which under this provision shall be
17 no less than the rates customarily charged for retail
18 consumer repairs as calculated herein, for parts and
19 labor for warranty and recall repairs shall, at the
20 option of the new motor vehicle dealer, be established
21 by the new motor vehicle dealer submitting to the
22 manufacturer or distributor one hundred sequential
23 nonwarranty consumer-paid service repair orders which
24 contain warranty-like repairs, or ninety (90)

consecutive days of nonwarranty consumer-paid service repair orders which contain warranty-like repairs, whichever is less, covering repairs made no more than one hundred eighty (180) days before the submission and declaring the average percentage labor rate and/or markup rate. A motor vehicle dealer may not submit a request to establish its retail rates more than once in a twelve-month period. That request may establish a parts markup rate, labor rate, or both. The new motor vehicle dealer or new powersports vehicle dealer shall calculate its retail parts rate by determining the total charges for parts from the qualified repair orders submitted, dividing that amount by the new motor vehicle dealer's total cost of the purchase of those parts, subtracting one (1), and multiplying by one hundred (100) to produce a percentage. The new motor vehicle dealer or new powersports vehicle dealer shall calculate its retail labor rate by dividing the amount of the new vehicle dealer's total labor sales from the qualified repair orders by the total labor hours charged for those sales. When submitting repair orders to establish a retail parts and labor rate, a new motor vehicle dealer or new powersports vehicle dealer need not include repairs for:

- (1) routine maintenance including but not limited to the replacement of bulbs, fluids, filters, batteries, and belts that are not provided in the course of and related to a repair,
- (2) factory special events, specials, or promotional discounts for retail consumer repairs,
- (3) parts sold or repairs performed at wholesale,
- (4) factory-approved goodwill or policy repairs or replacements,
- (5) repairs with aftermarket parts, when calculating the retail parts rate but not the retail labor rate,
- (6) repairs on aftermarket parts,
- (7) replacement of or work on tires including front-end alignments and wheel or tire rotations,
- (8) repairs of vehicles owned by the new motor vehicle dealer or new powersports vehicle dealer or employee thereof at the time of the repair,
- (9) vehicle reconditioning, or
- (10) items that do not have individual part numbers including, but not limited to, nuts, bolts, and fasteners.

A manufacturer or distributor may, not later than forty-five (45) days after submission, rebut that

1 declared retail parts and labor rate in writing by
2 reasonably substantiating that the rate is not
3 accurate or is incomplete pursuant to the provisions
4 of this section. If the manufacturer or distributor
5 determines the set of repair orders submitted by the
6 new motor vehicle dealer or new powersports vehicle
7 dealer pursuant to this section for a retail labor
8 rate or retail parts markup rate is substantially
9 higher than the new vehicle dealer's current warranty
10 rates, the manufacturer or distributor may request, in
11 writing, within forty-five (45) days after the
12 manufacturer's or distributor's receipt of the new
13 vehicle dealer's initial submission, all repair orders
14 closed within the period of thirty (30) days
15 immediately preceding, or thirty (30) days immediately
16 following, the set of repair orders initially
17 submitted by the new motor vehicle dealer. All time
18 periods under this section shall be suspended until
19 the supplemental repair orders are provided. If the
20 manufacturer or distributor requests supplemental
21 repair orders, the manufacturer or distributor may,
22 within thirty (30) days after receiving the
23 supplemental repair orders and in accordance with the
24 formula described in this subsection, calculate a

1 proposed adjusted retail labor rate or retail parts
2 markup rate, as applicable, based upon any set of the
3 qualified repair orders submitted by the franchisee
4 and following the formula set forth herein to
5 establish the rate. The retail labor and parts rates
6 shall go into effect thirty (30) days following the
7 approval by the manufacturer or distributor. If the
8 declared rate is rebutted, the manufacturer or
9 distributor shall provide written notice stating the
10 reasons for the rebuttal, an explanation of the
11 reasons for the rebuttal, and a copy of all
12 calculations used by the franchisor in determining the
13 manufacturer or distributor's position and propose an
14 adjustment in writing of the average percentage markup
15 or labor rate based on that rebuttal not later than
16 forty-five (45) days after submission. If the new
17 motor vehicle dealer or new powersports vehicle dealer
18 does not agree with the proposed average percentage
19 markup or labor rate, the new vehicle dealer may file
20 a protest with the Commission not later than thirty
21 (30) days after receipt of that proposal by the
22 manufacturer or distributor. In the event a protest
23 is filed, the manufacturer or distributor shall have
24 the burden of proof to establish the new vehicle

1 dealer's submitted parts markup rate or labor rate was
2 inaccurate or not complete pursuant to the provisions
3 of this section. A manufacturer or distributor may
4 not retaliate against any new motor vehicle dealer or
5 new powersports vehicle dealer seeking to exercise its
6 rights under this section. A manufacturer or
7 distributor may require a dealer to submit repair
8 orders in accordance with this section in order to
9 validate the reasonableness of a dealer's retail rate
10 for parts or labor not more often than once every
11 twelve (12) months. A manufacturer or distributor may
12 not otherwise recover its costs from new vehicle
13 dealers within this state including a surcharge
14 imposed on a new motor vehicle dealer solely intended
15 to recover the cost of reimbursing a dealer for parts
16 and labor pursuant to this section; provided, a
17 manufacturer or distributor shall not be prohibited
18 from increasing prices for vehicles or parts in the
19 normal course of business or from auditing and
20 charging back claims in accordance with this section.
21 All claims made by dealers for compensation for
22 delivery, preparation, warranty, or recall repair work
23 shall be paid within thirty (30) days after approval
24 and shall be approved or disapproved within thirty

(30) days after receipt. When any claim is disapproved, the dealer shall be notified in writing of the grounds for disapproval. The dealer's delivery, preparation, and warranty obligations as filed with the Commission shall constitute the dealer's sole responsibility for product liability as between the dealer and manufacturer. A factory may reasonably and periodically audit a new motor vehicle dealer or new powersports vehicle dealer to determine the validity of paid claims for dealer compensation or any charge-backs for warranty parts or service compensation. Except in cases of suspected fraud, audits of warranty payments shall only be for the one-year period immediately following the date of the payment. A manufacturer shall reserve the right to reasonable, periodic audits to determine the validity of paid claims for dealer compensation or any charge-backs for consumer or dealer incentives. Except in cases of suspected fraud, audits of incentive payments shall only be for a one-year period immediately following the date of the payment. A factory shall not deny a claim or charge a new motor vehicle dealer back subsequent to the payment of the claim unless the factory can show that the claim was false or

1 fraudulent or that the new motor vehicle dealer or new
2 powersports vehicle dealer failed to reasonably
3 substantiate the claim by the written reasonable
4 procedures of the factory. A factory shall not deny a
5 claim or implement a charge-back against a new vehicle
6 dealer after payment of a claim in the event a
7 purchaser of a new vehicle that is the subject of a
8 claim fails to comply with titling or registration
9 laws of this state and is not prevented from
10 compliance by any action of the dealer; provided, that
11 the factory may require the dealer to provide, within
12 thirty (30) days of notice of charge-back, withholding
13 of payment, or denial of claim, the documentation to
14 demonstrate the vehicle sale, delivery, and customer
15 qualification for an incentive as reported, including
16 consumer name and address and written attestation
17 signed by the dealer operator or general manager
18 stating the consumer was not on the export control
19 list and the dealer did not know or have reason to
20 know the vehicle was being exported or resold.
21 The factory shall provide written notice to a dealer
22 of a proposed charge-back that is the result of an
23 audit along with the specific audit results and
24 proposed charge-back amount. A dealer that receives

notice of a proposed charge-back pursuant to a
factory's audit has the right to file a protest with
the Commission within thirty (30) days after receipt
of the notice of the charge-back or audit results,
whichever is later. The factory is prohibited from
implementing the charge-back or debiting the dealer's
account until either the time frame for filing a
protest has passed or a final adjudication is rendered
by the Commission, whichever is later, unless the
dealer has agreed to the charge-back or charge-backs,
c. fails to compensate the new motor vehicle dealer for a
used motor vehicle:
(1) that is of the same make and model manufactured,
imported, or distributed by the factory and is a
line-make that the new motor vehicle dealer is
franchised to sell or on which the new motor
vehicle dealer is authorized to perform recall
repairs,
(2) that is subject to a stop-sale or do-not-drive
order issued by the factory or an authorized
governmental agency,
(3) that is held by the new motor vehicle dealer in
the dealer's inventory at the time the stop-sale
or do-not-drive order is issued or that is taken

1 by the new motor vehicle dealer into the dealer's
2 inventory after the recall notice as a result of
3 a retail consumer trade-in or a lease return to
4 the dealer inventory in accordance with an
5 applicable lease contract,

6 (4) that cannot be repaired due to the
7 unavailability, within thirty (30) days after
8 issuance of the stop-sale or do-not-drive order,
9 of a remedy or parts necessary for the new motor
10 vehicle dealer to make the recall repair, and

11 (5) that is not at least in the prorated amount of
12 one percent (1.00%) of the value of the vehicle
13 per month beginning on the date that is thirty
14 (30) days after the date on which the stop-sale
15 order was provided to the new motor vehicle
16 dealer until the earlier of either of the
17 following:

18 (a) the date the recall remedy or parts are made
19 available, or

20 (b) the date the new motor vehicle dealer sells,
21 trades, or otherwise disposes of the
22 affected used motor vehicle.

23 For the purposes of division (5) of this subparagraph,
24 the value of a used vehicle shall be the average Black

1 Book value for the year, make, and model of the
2 recalled vehicle. A factory may direct the manner and
3 method in which a new motor vehicle dealer must
4 demonstrate the inventory status of an affected used
5 motor vehicle to determine eligibility under this
6 subparagraph; provided, that the manner and method may
7 not be unduly burdensome and may not require
8 information that is unduly burdensome to provide. All
9 reimbursement claims made by new motor vehicle dealers
10 pursuant to this section for recall remedies or
11 repairs, or for compensation where no part or repair
12 is reasonably available and the vehicle is subject to
13 a stop-sale or do-not-drive order, shall be subject to
14 the same limitations and requirements as a warranty
15 reimbursement claim made under subparagraph b of this
16 paragraph. In the alternative, a manufacturer may
17 compensate its franchised new motor vehicle dealers
18 under a national recall compensation program;
19 provided, the compensation under the program is equal
20 to or greater than that provided under division (5) of
21 this subparagraph, or as the manufacturer and new
22 motor vehicle dealer otherwise agree. Nothing in this
23 section shall require a factory to provide total
24 compensation to a new motor vehicle dealer which would

1 exceed the total average Black Book value of the
2 affected used motor vehicle as originally determined
3 under division (5) of this subparagraph. Any remedy
4 provided to a new motor vehicle dealer under this
5 subparagraph is exclusive and may not be combined with
6 any other state or federal compensation remedy,

7 d. unreasonably fails or refuses to offer to its same
8 line-make franchised dealers a reasonable supply and
9 mix of all models manufactured for that line-make, or
10 unreasonably requires a dealer to pay any extra fee,
11 purchase unreasonable advertising displays or other
12 materials, or enter into a separate agreement which
13 adversely alters the rights or obligations contained
14 within the dealer's existing franchise agreement or
15 which waives any right of the new motor vehicle dealer
16 or new powersports vehicle dealer as protected by
17 Section 561 et seq. of this title, or remodel,
18 renovate, or recondition the dealer's existing
19 facilities as a prerequisite to receiving a model or
20 series of vehicles, except as may be necessary to sell
21 or service the model or series of vehicles as provided
22 by subparagraph e of this paragraph. It shall be a
23 violation of this section for new vehicle allocation
24 to be withheld subject to any requirement to purchase

1 or sell any number of used or off-lease vehicles. The
2 failure to deliver any such new motor vehicle shall
3 not be considered a violation of the section if the
4 failure is not arbitrary or is due to lack of
5 manufacturing capacity or to a strike or labor
6 difficulty, a shortage of materials, a freight
7 embargo, or other cause over which the manufacturer
8 has no control. However, this subparagraph shall not
9 apply to limited production model vehicles, a vehicle
10 not advertised by the factory for sale in this state,
11 vehicles that are subject to allocation affected by
12 federal environmental laws or environmental laws of
13 this state, or vehicles allocated in response to an
14 unforeseen event or circumstance,

- 15 e. except as necessary to comply with a health or safety
16 law, or to comply with a technology requirement which
17 is necessary to sell or service a vehicle that the
18 franchised new motor vehicle dealer or new powersports
19 vehicle dealer is authorized or licensed by the
20 franchisor to sell or service, requires a dealer to
21 construct a new facility or substantially renovate the
22 dealer's existing facility unless the facility
23 construction or renovation is justified by the
24 economic conditions existing at the time, as well as

1 the reasonably foreseeable projections, in the new
2 motor vehicle dealer's market and in the automotive
3 industry. However, this subparagraph shall not apply
4 if the new motor vehicle dealer or new powersports
5 vehicle dealer voluntarily agrees to facility
6 construction or renovation in exchange for money,
7 credit, allowance, reimbursement, or additional
8 vehicle allocation to a dealer from the factory to
9 compensate the dealer for the cost of, or a portion of
10 the cost of, the facility construction or renovation.
11 Except as necessary to comply with a health or safety
12 law, or to comply with a technology or safety
13 requirement which is necessary to sell or service a
14 motor vehicle or powersports vehicle that the
15 franchised dealer is authorized or licensed by the
16 franchisor to sell or service, a new vehicle dealer
17 which completes a facility construction or renovation
18 pursuant to factory requirements shall not be required
19 to construct a new facility or renovate the existing
20 facility if the same area of the facility or premises
21 has been constructed or substantially altered within
22 the last ten (10) years and the construction or
23 alteration was approved by the manufacturer as a part
24 of a facility upgrade program, standard, or policy.

1 For purposes of this subparagraph, "substantially
2 altered" means to perform an alteration that
3 substantially impacts the architectural features,
4 characteristics, or integrity of a structure or lot.
5 The term shall not include routine maintenance
6 reasonably necessary to maintain a dealership in
7 attractive condition. If a facility upgrade program,
8 standard, or policy under which the dealer completed a
9 facility construction or substantial alteration does
10 not contain a specific time period during which the
11 manufacturer or distributor shall provide payments or
12 benefits to a participating dealer, or the time frame
13 specified under the program is reduced or canceled
14 prematurely in the unilateral discretion of the
15 manufacturer or distributor, the manufacturer or
16 distributor shall not deny the participating dealer
17 any payment or benefit under the terms of the program,
18 standard, or policy as it existed when the dealer
19 began to perform under the program, standard, or
20 policy for the balance of the ten-year period,
21 regardless of whether the manufacturer's or
22 distributor's program, standard, or policy has been
23 changed or canceled, unless the manufacturer and
24

1 dealer agree, in writing, to the change in payment or
2 benefit,

3 f. requires a new motor vehicle dealer or new powersports
4 vehicle dealer to establish an exclusive facility,
5 unless supported by reasonable business, market, and
6 economic considerations; provided, that this section
7 shall not restrict the terms of any agreement for such
8 exclusive facility voluntarily entered into and
9 supported by valuable consideration separate from the
10 new motor vehicle dealer's right to sell and service
11 motor vehicles for the franchisor,

12 g. requires a new motor vehicle dealer or new powersports
13 vehicle dealer to enter into a site-control agreement
14 covering any or all of the new motor vehicle dealer's
15 facilities or premises; provided, that this section
16 shall not restrict the terms of any site-control
17 agreement voluntarily entered into and supported by
18 valuable consideration separate from the new motor
19 vehicle dealer's right to sell and service motor
20 vehicles for the franchisor. Notwithstanding the
21 foregoing or the terms of any site-control agreement,
22 a site-control agreement automatically extinguishes if
23 all of the factory's franchises that operated from the
24 location that are the subject of the site-control

1 agreement are terminated by the factory as part of the
2 discontinuance of a product line,

3 h. refuses to pay, or claims reimbursement from, a new
4 motor vehicle dealer or new powersports vehicle dealer
5 for sales, incentives, or other payments related to a
6 vehicle sold by the dealer because the purchaser of
7 the new vehicle exported or resold the vehicle in
8 violation of the policy of the factory unless the
9 factory can show that, at the time of the sale, the
10 new vehicle dealer knew or reasonably should have
11 known of the purchaser's intention to export or resell
12 the vehicle. There is a rebuttable presumption that
13 the new vehicle dealer did not know or could not have
14 known that the vehicle would be exported if the
15 vehicle is titled and registered in any state of the
16 United States, or

17 i. (1) notwithstanding the terms of a franchise
18 agreement or other agreement except as provided
19 in this subsection, requires a new motor vehicle
20 dealer or new powersports vehicle dealer to
21 purchase or utilize goods or services, or
22 contract with any vendor, identified, selected,
23 or designated by the factory for the:

1 (a) operation of the dealership, including
2 electronic services such as websites, data
3 management or storage systems, digital
4 retail platforms, software, or other digital
5 services or platforms, or

6 (b) construction, renovation, or improvement of
7 the new dealer's facility ~~from a vendor~~
8 ~~chosen by the factory if.~~

9 If goods or services available from ~~other sources~~
10 a vendor that the new motor vehicle dealer
11 chooses are of substantially similar quality,
12 function, and design and comply with all
13 applicable laws; provided, however, that such
14 goods are not subject to the factory's
15 intellectual property or trademark rights and the
16 new vehicle dealer has received the factory's
17 approval, which approval may not be unreasonably
18 withheld. Nothing in this subparagraph may be
19 construed to allow a new motor vehicle dealer or
20 new powersports vehicle dealer to impair or
21 eliminate a factory's intellectual property,
22 trademark rights, or trade dress usage
23 guidelines. Nothing in this ~~section~~ subparagraph
24 prohibits the enforcement of a voluntary

1 agreement between the factory and the new vehicle
2 dealer where separate and valuable consideration
3 has been offered and accepted.

4 It is a violation of this subparagraph for a
5 factory, or any entity that operates on behalf of
6 a factory, to coerce a new motor vehicle dealer
7 to purchase or utilize certain goods or services
8 by withholding vehicle allocation that the new
9 motor vehicle dealer is otherwise eligible to
10 receive, and

11 (2) for the purposes of this subparagraph, "goods and
12 services" do not include:

13 (a) moveable displays, brochures, promotional
14 materials, or electronic or digital media
15 containing material subject to the
16 intellectual property rights of a factory or
17 parts to be used in repairs under warranty
18 obligations of a factory, or

19 (b) special tools or training required by the
20 factory to perform warranty or recall
21 related repairs;

22 10. Being a factory that:

23 a. establishes a system of motor vehicle allocation or
24 distribution which is unfair, inequitable, or

1 unreasonably discriminatory. Upon the request of any
2 new motor vehicle dealer or new powersports vehicle
3 dealer franchised by it, a factory shall disclose in
4 writing to the dealer the basis upon which new
5 vehicles are allocated, scheduled, and delivered among
6 the new motor vehicle dealers of the same line-make
7 for that factory, or

- 8 b. changes an established plan or system of new motor
9 vehicle or new powersports vehicle distribution. A
10 new motor vehicle dealer or new powersports vehicle
11 dealer franchise agreement shall continue in full
12 force and operation notwithstanding a change, in whole
13 or in part, of an established plan or system of
14 distribution of the motor vehicles or new powersports
15 vehicles offered or previously offered for sale under
16 the franchise agreement. The appointment of a new
17 importer or distributor for motor vehicles or new
18 powersports vehicle offered for sale under the
19 franchise agreement shall be deemed to be a change of
20 an established plan or system of distribution. The
21 discontinuation of a line-make shall not be deemed to
22 be a change of an established plan or system of motor
23 vehicle or new powersports vehicle distribution. The
24 creation of a line-make shall not be deemed to be a

1 change of an established plan or system of motor
2 vehicle distribution as long as the new line-make is
3 not selling the same, or substantially the same
4 vehicle or vehicles previously sold through another
5 line-make by new motor vehicle dealers or new
6 powersports vehicle dealers with an active franchise
7 agreement for the other line-make in the state if such
8 dealers are no longer authorized to sell the
9 comparable vehicle previously sold through their line-
10 make. Changing a vehicle's powertrain is not
11 sufficient to show it is substantially different.
12 Upon the occurrence of such change, the manufacturer
13 or distributor shall be prohibited from obtaining a
14 license to distribute vehicles under the new plan or
15 system of distribution unless the manufacturer or
16 distributor offers to each vehicle dealer who is a
17 party to the franchise agreement a new franchise
18 agreement containing substantially the same provisions
19 which were contained in the previous franchise
20 agreement;

21 11. Being a factory that sells directly or indirectly new motor
22 vehicles or new powersports vehicles to any retail consumer in the
23 state except through a new motor vehicle dealer or new powersports
24 vehicle dealer holding a franchise for the line-make that includes

1 the new motor vehicle or new powersports vehicle. This paragraph
2 does not apply to factory sales of new vehicles to its employees,
3 family members of employees, retirees and family members of
4 retirees, not-for-profit organizations, or the federal, state, or
5 local governments. The provisions of this paragraph shall not
6 preclude a factory from providing information to a consumer for the
7 purpose of marketing or facilitating a sale of a new vehicle or from
8 establishing a program to sell or offer to sell new motor vehicles
9 or new powersports vehicle through participating dealers subject to
10 the limitations provided in paragraph 2 of Section 562 of this
11 title;

12 12. a. Being a factory which directly or indirectly:

13 (1) owns any ownership interest or has any financial
14 interest in a new motor vehicle dealer or new
15 powersports vehicle dealer or any person who
16 sells products or services pursuant to the terms
17 of the franchise agreement,

18 (2) operates or controls a new motor vehicle dealer
19 or new powersports vehicle dealer, or

20 (3) acts in the capacity of a new motor vehicle
21 dealer or new powersports vehicle dealer.

22 b. (1) This paragraph does not prohibit a factory from
23 owning or controlling a new motor vehicle dealer
24 or new powersports vehicle dealer while in a bona

1 fide relationship with a dealer development
2 candidate who has made a substantial initial
3 investment in the franchise and whose initial
4 investment is subject to potential loss. The
5 dealer development candidate can reasonably
6 expect to acquire full ownership of a new vehicle
7 dealer within a reasonable period of time not to
8 exceed ten (10) years and on reasonable terms and
9 conditions. The ten-year acquisition period may
10 be expanded for good cause shown.

11 (2) This paragraph does not prohibit a factory from
12 owning, operating, controlling, or acting in the
13 capacity of a new motor vehicle dealer or new
14 powersports vehicle dealer for a period not to
15 exceed twelve (12) months during the transition
16 from one independent dealer to another
17 independent dealer if the dealership is for sale
18 at a reasonable price and on reasonable terms and
19 conditions to an independent qualified buyer. On
20 showing by a factory of good cause, the Oklahoma
21 New Motor Vehicle Commission may extend the time
22 limit set forth above; extensions may be granted
23 for periods not to exceed twelve (12) months.
24

1 (3) This paragraph does not prohibit a factory from
2 owning, operating, or controlling or acting in
3 the capacity of a new motor vehicle dealer or new
4 powersports vehicle dealer which was in operation
5 prior to January 1, 2000.

6 (4) This paragraph does not prohibit a factory from
7 owning, directly or indirectly, a minority
8 interest in an entity that owns, operates, or
9 controls motor vehicle dealerships or powersports
10 vehicle dealerships of the same line-make
11 franchised by the manufacturer, provided that
12 each of the following conditions are met:

13 (a) all of the new motor vehicle or new
14 powersports vehicle dealerships selling the
15 vehicles of that manufacturer in this state
16 trade exclusively in the line-make of that
17 manufacturer,

18 (b) all of the franchise agreements of the
19 manufacturer confer rights on the dealer of
20 the line-make to develop and operate, within
21 a defined geographic territory or area, as
22 many dealership facilities as the dealer and
23 manufacturer shall agree are appropriate,
24

1 (c) at the time the manufacturer first acquires
2 an ownership interest or assumes operation,
3 the distance between any dealership thus
4 owned or operated and the nearest
5 unaffiliated new motor vehicle or new
6 powersports vehicle dealership trading in
7 the same line-make is not less than seventy
8 (70) miles,

9 (d) during any period in which the manufacturer
10 has such an ownership interest, the
11 manufacturer has no more than three
12 franchise agreements with new motor vehicle
13 dealers or new powersports vehicle dealers
14 licensed by the Oklahoma New Motor Vehicle
15 Commission to do business within the state,
16 and

17 (e) prior to January 1, 2000, the factory shall
18 have furnished or made available to
19 prospective new vehicle dealers an offering
20 circular in accordance with the Trade
21 Regulation Rule on Franchising of the
22 Federal Trade Commission, and any guidelines
23 and exemptions issued thereunder, which
24 disclose the possibility that the factory

1 may from time to time seek to own or
2 acquire, directly or indirectly, ownership
3 interests in retail dealerships;

4 13. Being a factory which directly or indirectly makes
5 available for public disclosure any proprietary information provided
6 to the factory by a new motor vehicle dealer or new powersports
7 vehicle dealer, other than in composite form to new vehicle dealers
8 in the same line-make or in response to a subpoena or order of the
9 Commission or a court. Proprietary information includes, but is not
10 limited to, information:

11 a. derived from monthly financial statements provided to
12 the factory, and

13 b. regarding any aspect of the profitability of a
14 particular new motor vehicle dealer or new powersports
15 vehicle dealer;

16 14. Being a factory which does not provide or direct leads in a
17 fair, equitable, and timely manner. Nothing in this paragraph shall
18 be construed to require a factory to disregard the preference of a
19 consumer in providing or directing a lead;

20 15. Being a factory which used the consumer list of a new motor
21 vehicle dealer or new powersports vehicle dealer for the purpose of
22 unfairly competing with dealers;

1 16. Being a factory which prohibits a new motor vehicle dealer
2 or new powersports vehicle dealer from relocating after a written
3 request by such dealer if:

4 a. the facility and the proposed new location satisfies
5 or meets the written reasonable guidelines of the
6 factory. Reasonable guidelines do not include
7 exclusivity or site control unless agreed to as set
8 forth in subparagraphs f and g of paragraph 9 of this
9 subsection,

10 b. the proposed new location is within the area of
11 responsibility of the new motor vehicle dealer or new
12 powersports vehicle dealer pursuant to Section 578.1
13 of this title, and

14 c. the factory has sixty (60) days from receipt of the
15 new motor vehicle dealer's relocation request to
16 approve or deny the request. The failure to approve
17 or deny the request within the sixty-day time frame
18 shall constitute approval of the request;

19 17. Being a factory which prohibits a new motor vehicle dealer
20 or new powersports vehicle dealer from adding additional line-makes
21 to its existing facility, if, after adding the additional line-
22 makes, the facility satisfies the written reasonable capitalization
23 standards and facility guidelines of each factory. Reasonable
24 facility guidelines do not include a requirement to maintain

1 exclusivity or site control unless agreed to by the dealer as set
2 forth in subparagraphs f and g of paragraph 9 of this subsection;

3 18. Being a factory that increases prices of new motor vehicles
4 or new powersports vehicles which the dealer had ordered for retail
5 consumers and notified the factory prior to the dealer's receipt of
6 the written official price increase notification. A sales contract
7 signed by a retail consumer accompanied with proof of order
8 submission to the factory shall constitute evidence of each such
9 order, provided that the vehicle is in fact delivered to the
10 consumer. Price differences applicable to new models or series
11 motor vehicles at the time of the introduction of new models or
12 series shall not be considered a price increase for purposes of this
13 paragraph. Price changes caused by any of the following shall not
14 be subject to the provisions of this paragraph:

- 15 a. the addition to a motor vehicle or powersports vehicle
16 of required or optional equipment pursuant to state or
17 federal law,
- 18 b. revaluation of the United States dollar in the case of
19 foreign-made vehicles or components, or
- 20 c. an increase in transportation charges due to increased
21 rates imposed by common or contract carriers;

22 19. Being a factory that requires a new motor vehicle dealer or
23 new powersports vehicle dealer to participate monetarily in an
24 advertising campaign or contest, or purchase any promotional

1 materials, showroom, or other display decoration or materials at the
2 expense of the new motor vehicle or powersports vehicle dealer
3 without consent of the dealer, which consent shall not be
4 unreasonably withheld;

5 20. Being a factory that denies any new motor vehicle dealer or
6 new powersports vehicle dealer the right of free association with
7 any other dealer for any lawful purpose, unless otherwise permitted
8 by this chapter; ~~or~~

9 21. Being a factory that requires a new motor vehicle dealer or
10 new powersports vehicle dealer to sell, offer to sell, or sell
11 exclusively an extended service contract, extended maintenance plan,
12 or similar product, such as gap products offered, endorsed, or
13 sponsored by the factory by the following means:

14 a. by an act or statement from the factory that will in
15 any manner adversely impact the new motor vehicle
16 dealer, or

17 b. by measuring dealer's performance under the franchise
18 based on the sale of extended service contracts,
19 extended maintenance plans, or similar products
20 offered, endorsed, or sponsored by the manufacturer or
21 distributor;

22 22. Being a factory that requires or coerces a new motor
23 vehicle dealer in this state to purchase or lease any electric
24 vehicle charging stations at the new motor vehicle dealer's expense

1 unless the franchise agreement, including any related addendums,
2 with the new motor vehicle dealer identifies electric vehicle models
3 among the vehicles available for sale under the dealer's franchised
4 line-make, or the new motor vehicle dealer has notified the
5 manufacturer or distributor of the new motor vehicle dealer's
6 intention to begin selling and servicing electric vehicles
7 manufactured or distributed by that factory. If the new motor
8 vehicle dealer's franchise identifies electric vehicle models or the
9 dealer is actually offering for sale to the public or providing
10 warranty service on electric vehicles manufactured or distributed by
11 that factory, the new motor vehicle dealer may not be required to
12 purchase or lease, at the new motor vehicle dealer's expense:

13 a. more than the number and type of electric vehicle
14 charging stations based upon the reasonable estimate
15 of the sales and service volume for the vehicles in
16 the dealer's market, or

17 b. to make electric vehicle charging stations located at
18 the new motor vehicle dealership available for use by
19 the general public. Nothing in this paragraph shall
20 prohibit a factory from offering financial assistance
21 through a lump-sum payment to new motor vehicle
22 dealers that purchase or install electric charging
23 stations; and

1 23. Being a factory that withdraws all or a material part of
2 its stated electric vehicle distribution plan and fails or refuses,
3 at the written request of the new motor vehicle dealer, to accept
4 the return or otherwise fully reimburse a new motor vehicle dealer
5 for the cost of parts, tools, equipment, chargers, and other
6 returnable items required as a part of that distribution plan,
7 program, policy, or other initiative related to the sale or service
8 of electric motor vehicles; provided, that:

9 a. the dealer demonstrates that the volume of electric
10 motor vehicles sales or service is no longer adequate
11 to allow the dealer to realize a positive return on
12 the investment over the useful life of the parts,
13 tools, equipment, chargers, or other returnable items,
14 and

15 b. the dealer submits its request to the manufacturer or
16 distributor in writing and within twenty-four (24)
17 months of the dealer's receipt of the parts, tools,
18 equipment, chargers, or other returnable items.

19 B. Notwithstanding the terms of any franchise agreement, in the
20 event of a proposed sale or transfer of a dealership, the
21 manufacturer or distributor shall be permitted to exercise a right
22 of first refusal to acquire the assets or ownership interest of the
23 dealer of the new motor vehicle or new powersports vehicle
24 dealership, if such sale or transfer is conditioned upon the

1 manufacturer or dealer entering into a dealer agreement with the
2 proposed new owner or transferee, only if all the following
3 requirements are met:

4 1. To exercise its right of first refusal, the factory must
5 notify the new motor vehicle dealer or new powersports vehicle
6 dealer in writing within sixty (60) days of receipt of the completed
7 proposal for the proposed sale transfer;

8 2. The exercise of the right of first refusal will result in
9 the new motor vehicle dealer or new powersports vehicle dealer and
10 the owner of the dealership receiving the same or greater
11 consideration as they have contracted to receive in connection with
12 the proposed change of ownership or transfer;

13 3. The proposed sale or transfer of the dealership does not
14 involve the transfer or sale to a member or members of the family of
15 one or more dealer owners, or to a qualified manager or a
16 partnership or corporation controlled by such persons; and

17 4. The factory agrees to pay the reasonable expenses, including
18 attorney fees which do not exceed the usual, customary, and
19 reasonable fees charged for similar work done for other clients
20 incurred by the proposed new owner and transferee prior to the
21 exercise by the factory of its right of first refusal in negotiating
22 and implementing the contract for the proposed sale or transfer of
23 the dealership or dealership assets. Notwithstanding the foregoing,
24 no payment of expenses and attorney fees shall be required if the

1 proposed new dealer or transferee has not submitted or caused to be
2 submitted an accounting of those expenses within thirty (30) days of
3 receipt of the written request of the factory for such an
4 accounting. The accounting may be requested by a factory before
5 exercising its right of first refusal.

6 C. Nothing in this section shall prohibit, limit, restrict, or
7 impose conditions on:

8 1. Business activities, including without limitation the
9 dealings with motor vehicle manufacturers and the representatives
10 and affiliates of motor vehicle manufacturers, of any person that is
11 primarily engaged in the business of short-term, not to exceed
12 twelve (12) months, rental of motor vehicles and industrial and
13 construction equipment and activities incidental to that business,
14 provided that:

15 a. any motor vehicle or powersports vehicle sold by that
16 person is limited to used motor vehicles or
17 powersports vehicles that have been previously used
18 exclusively and regularly by that person in the
19 conduct of business and used motor vehicles or used
20 powersports vehicles traded in on motor vehicles or
21 powersports vehicles sold by that person,

22 b. warranty repairs performed by that person on motor
23 vehicles or powersports vehicles are limited to those
24

1 vehicles that the person owns, previously owned, or
2 takes in trade, and

3 c. motor vehicle or powersports vehicle financing
4 provided by that person to retail consumers for motor
5 vehicles or powersports vehicles is limited to used
6 vehicles sold by that person in the conduct of
7 business; or

8 2. The direct or indirect ownership, affiliation, or control of
9 a person described in paragraph 1 of this subsection.

10 D. As used in this section:

11 1. "Substantially relates" means the nature of criminal conduct
12 for which the person was convicted has a direct bearing on the
13 fitness or ability to perform one or more of the duties or
14 responsibilities necessarily related to the occupation; and

15 2. "Poses a reasonable threat" means the nature of criminal
16 conduct for which the person was convicted involved an act or threat
17 of harm against another and has a bearing on the fitness or ability
18 to serve the public or work with others in the occupation.

19 ~~E. Nothing in this section shall prohibit a manufacturer or~~
20 ~~distributor from requiring a dealer to be in compliance with the~~
21 ~~franchise agreement and authorized to sell a make and model based on~~
22 ~~applicable reasonable standards and requirements that include but~~
23 ~~are not limited to any facility, technology, or training~~
24 ~~requirements necessary to sell or service a vehicle, in order to be~~

~~eligible for delivery or allotment of a make or model of a new motor
vehicle or new powersports vehicle or an incentive.~~

SECTION 10. This act shall become effective November 1, 2025.

Passed the Senate the 26th day of March, 2025.

Presiding Officer of the Senate

Passed the House of Representatives the ____ day of _____,
2025.

Presiding Officer of the House
of Representatives